

Year	Earned per share ¹	Dividend per share ¹	Net tangible asset value per share ¹	Market price per share ¹	Total stockholders' investment (including voluntary reserves)
Fiscal years:					(millions)
1939	\$1.74	\$1.20	\$41.40	21	\$250
1900	2.19	1.67	22.45	(est) 21	22
Average of:					
Decade 1930–1939	1.36	1.20	40.60	20 ¹ / ₄	244
Decade 1920–1929	1.81	2.00	38.75	28 ¹ / ₂	233
Decade 1910–1919	3.67	2.37	33.66	24 ¹ / ₂	120
Decade 1900–1909	2.42	1.52	25.60	22	42
40 years, 1900–1939	2.32	1.78	34.65	23 ³ / ₄	160

¹ All per-share figures prior to 1918 are adjusted for a 25% dividend paid in that year.

Discussion: This enterprise is the leading factor in one of the largest industries in the country. In fact, Swift & Co. has in some years reported a larger dollar volume of sales than any other American corporation. During the 42 years 1898–1939 it has paid a dividend in every year except 1937 and earned a net profit in every year but three. Its stockholders' equity has grown from \$15,000,000 in 1898 to \$250,000,000 in 1939. Yet this company's shares sold in 1939 (and on the average through 1930–1939) for less than half their tangible investment, and for no more than their equity in net current assets alone, disregarding completely the manufacturing plants, the transportation equipment, the trade names and good-will and other assets. What is wrong?

If we ask why Wall Street is not willing to pay so much for Swift & Co. as is invested in the business, the answer is simple. Earnings on this invested capital over the past decade have averaged less than 4%, and the trend of profits in the past twenty years has been predominantly downward. But the real question is why these unfavorable factors are sufficient to cut the value of Swift in half—comparing market price with tangible assets—when all common stocks on the New York Stock Exchange have been selling in the aggregate at 50% *more* than book value (*e.g.*, at the end of 1938). Collateral thereto is the question why the price of Swift & Co. must be so low as to return an average yield of 6%, as against only 4% returned in 1930–1939 by common stocks generally (*cf.* Moody's Index covering 200 leading issues).